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## U.S. Customs and Border Protection

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### **PUBLIC VERSION**

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**CP Kelco U.S. Inc.**

### **RE: EAPA CASE 7844 – Notice of Determination as to Evasion**

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To the Counsel and Representatives of the above-referenced entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) 7844, U.S. Customs and Border Protection (CBP) has determined that there is substantial evidence that Guy and O'Neill Inc. (GON, or the Importer) entered merchandise covered by the antidumping duty (AD) order A-570-985 (the *Order*) on xanthan gum from the People's Republic of China (China) into the customs territory of the United States through evasion.<sup>1</sup>

Substantial evidence demonstrates that GON imported Chinese-origin xanthan gum transshipped through Israel by GON's supplier, Dormeco Ltd. (Dormeco, or the Supplier). The Importer declared the Chinese-origin xanthan gum it received from Dormeco as Israeli-origin, and as a result, no cash deposits were applied to the covered merchandise at the time of entry. The basis for CBP's determination is explained in detail below.

### **I. Background**

On August 25, 2023, CP Kelco U.S., Inc. (the *Alleger*, or CPK) filed an EAPA allegation claiming that GON was evading the *Order* by means of transshipment through Israel.<sup>2</sup> The

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<sup>1</sup> See *Xanthan Gum from the People's Republic of China: Antidumping Duty Order*, 78 FR 43,143 (Dep't of Commerce, July 19, 2013) (the *Order*).

<sup>2</sup> See letter from CPK, "Xanthan Gum from the People's Republic of China: Evasion of Antidumping Order via Transshipment through Israel Against Dormeco Industrial Supplies and Guy & O'Neill Inc.," dated August 25, 2023 (Allegation) at 2.

Allegation provided official U.S. import data from the U.S. International Trade Commission (USITC) showing U.S. imports of xanthan gum from Israel<sup>3</sup> as well as bill of lading data showing that GON acted as the consignee for shipments of xanthan gum from Israel by the shipper Dormeco.<sup>4</sup> These data show that GON likely acted as the importer of record for entries of xanthan gum declared as Israeli-origin.

To show that the country-of-origin declarations were false on the entries, the Allegation provided an affidavit from Shaw Gilmer, who in his position as Senior Director of Biogum Strategic Platforms at CPK, is familiar with global production and supply of xanthan gum. Mr. Gilmer attested that xanthan gum is only manufactured in four countries worldwide.<sup>5</sup> This assertion was supported by the USITC's 2018 report on xanthan gum from China, which states that xanthan gum is only produced in Austria, France, China, and the United States.<sup>6</sup>

The Allegation also provided screenshots of Dormeco's website showing that it is a distributor, rather than a manufacturer of xanthan gum, and that its supplier of xanthan gum is a Chinese producer, Deosan Biochemicals (Deosan).<sup>7</sup> CBP acknowledged receipt of CPK's properly filed allegation December 1, 2023,<sup>8</sup> and initiated EAPA investigation 7844 on December 22, 2023.<sup>9</sup>

## **II. Research Conducted by CBP Prior to the Notice of Initiation of Investigation**

### *CBP Data*

In order to evaluate the Allegation, CBP reviewed records of the Importer's past imports in internal CBP data sources. CBP confirmed that the allegor identified the correct name and address of the importer and confirmed that the importer had not declared the xanthan gum it entered as Chinese-origin at time of entry.<sup>10</sup>

### *CF-28s*

On August 25, 2023, CBP sent a CBP Form 28 (CF-28) request for information to GON requesting the name and address of the manufacturer for entry number [ # ]4904 with a response deadline of February 18, 2024.<sup>11</sup> On February 6, 2024, CBP also sent GON a CF-28 requesting photographs of the production process, photographs of the building where the xanthan gum was produced, and the name and address of the manufacturer that produced the xanthan gum for entry numbers [ # ]4902 (4902), [ # ]5778 (5778), and [ # ]2877 (2877) with a

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<sup>3</sup> *Id.* at Attachment 3.

<sup>4</sup> *Id.* at Attachment 4.

<sup>5</sup> *Id.* at 7 and Attachment 10.

<sup>6</sup> See *Xanthan Gum from China, Inv. No. 731-TA-1203* (Review), USITC Pub. 4839 at 13 and I- 15 (Nov. 2018), provided in the Allegation at Attachment 11.

<sup>7</sup> See Allegation at Attachments 5 and 6.

<sup>8</sup> See CBP's Email, "EAPA 7844 - Receipt of Allegation," dated December 1, 2023.

<sup>9</sup> See CBP Memorandum, "Initiation of Investigation for EAPA Case Number 7844," dated December 22, 2023 (Initiation Memo).

<sup>10</sup> See EAPA Receipt Report, dated December 13, 2023.

<sup>11</sup> See CF-28 issued to GON January 19, 2024.

response deadline of March 6, 2024.<sup>12</sup> GON submitted a late response to the CF-28 for entry 4904, along with timely responses to the CF-28 for entries 5778, 2877, and 4902 on February 27, 2024.<sup>13</sup> As part of the CF-28 responses, GON provided CBP with an email dated February 23, 2024, acknowledging that Deosan manufactured the xanthan gum that GON imported from Dormeco. GON also submitted corrected 7501 Entry Summary Forms for entry numbers 4902, 4904, 5778, and 2877 declaring the merchandise as Chinese-origin and subject to AD duties along with its CF-28 responses.<sup>14</sup>

### **III. Notice of Initiation of Investigation and Interim Measures**

Based on the information in the Allegation, CBP's own research and the Importer's CF-28 responses, CBP determined that there was reasonable suspicion of evasion by GON. Accordingly, CBP notified the parties to the investigation of this determination by email on March 21, 2024, and imposed interim measures. CBP also provided GON and the Allegor with the Notice of Initiation of Investigation and Interim Measures on March 28, 2024, in accordance with 19 C.F.R. § 165.15(d)(1).<sup>15</sup>

#### *Requests for Information*

CBP issued GON a request for information (RFI) on April 16, 2024, with a response deadline of April 30, 2024.<sup>16</sup> In the RFI, CBP requested, *inter alia*, information about GON's corporate structure and family history; copies of purchases orders (POs), invoices, bills of lading, and other documents GON created and received with its shipments of xanthan gum from Dormeco; and an explanation for why GON declared Dormeco as the manufacturer. On April 18, 2024, GON requested an extension of this deadline until May 30, 2024. CBP granted GON a shorter extension of time until May 10, 2024.<sup>17</sup> On May 10, 2024, GON submitted its response.<sup>18</sup> However, CBP rejected this response on May 14, 2024, and established a deadline of May 21, 2024, for GON to resubmit its response.<sup>19</sup> The Importer resubmitted its response on May 21, 2024.<sup>20</sup>

GON explained that on September 22, 2024, it had purchased the wipes business from Albaad USA Inc. (Albaad). GON also explained that it had never imported xanthan gum before purchasing the wipes business from Albaad, but then sourced its xanthan gum from Dormeco

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<sup>12</sup> See CF-28 issued to GON on February 6, 2024.

<sup>13</sup> See CF-28 Response, dated February 27, 2024.

<sup>14</sup> See February 27, 2024, CF-28 responses.

<sup>15</sup> See CBP's letter, "Re: EAPA Case 7844 - Notice of Initiation of Investigation and Interim Measures," dated March 28, 2024 (NOI). See also 19 C.F.R. § 165.15(d)(1).

<sup>16</sup> See CBP's email, "EAPA 7844 - Request for Information," dated April 16, 2024, and CBP's letter, "RE: EAPA 7844 - Request for Information," dated April 16, 2024.

<sup>17</sup> See CBP's email, "RE: EAPA 7844 - Request for Information," dated April 18, 2024.

<sup>18</sup> See GON's letter, "Re: Guy and O'Neill, Inc. – Response to April 16, 2024, Request for Information (EAPA Case No. 7844)," dated May 10, 2024.

<sup>19</sup> See CBP's email, "Rejection of RFI Submission," dated May 14, 2024. CBP rejected this RFI response because it lacked the certification required by EAPA regulations at 19 C.F.R. § 165.5(b)(2)(iii) and because GON requested business confidential treatment for its address, which was already public in the Allegation.

<sup>20</sup> See GON's letter, "Re: Guy and O'Neill, Inc. – Response to April 16, 2024, Request for Information (EAPA Case No. 7844)," dated April 21, 2024 (GON RFI Response). This resubmitted response met all filing requirements.

because Albaad had previously sourced its xanthan gum from Dormeco. GON further stated that it had declared Dormeco as the manufacturer because GON had no direct communication with the Chinese producer and only communicated with Dormeco when negotiating the xanthan gum orders with Dormeco. However, GON also confirmed that Deosan was the manufacturer, thereby reasserting the acknowledgement it made in the February 23, 2024, email included with its CF-28 responses that indicated the xanthan gum was, in fact, Chinese-origin.<sup>21</sup>

On May 15, 2024, CBP issued an RFI to Dormeco with a response deadline of May 29, 2024. CBP requested information about, *inter alia*, Dormeco's corporate structure and operations, its sourcing of xanthan gum, and its correspondence negotiating the sale of xanthan gum to GON and the purchase of xanthan gum from the original manufacturer. Dormeco did not respond to, or acknowledge receipt of, CBP's RFI by the May 29, 2024, deadline. Accordingly, CBP sent the RFI to Dormeco a second time on May 30, 2024, establishing a new response deadline of June 13, 2024.<sup>22</sup> Dormeco submitted its response on June 13, 2024, but CBP rejected this RFI response on June 17, 2024, and established a deadline of June 26, 2024, for Dormeco to resubmit its response.<sup>23</sup> Dormeco requested additional time to resubmit its RFI response on June 17, 2024, and on the same day, CBP extended the resubmission deadline until July 4, 2024.<sup>24</sup> On July 2, 2024, Dormeco submitted a timely RFI response.<sup>25</sup>

In its response, Dormeco stated that the xanthan gum it sold to GON was produced by Deosan in China.<sup>26</sup> Dormeco also provided copies of its email correspondence with Arshine Food Additives Co., Ltd., a Chinese supplier of xanthan gum. Arshine company representatives stated that they would supply xanthan gum produced by Deosan to Dormeco.<sup>27</sup> Dormeco also provided a copy of the Certificate of Analysis for the xanthan gum it sold to GON. This document is printed with Deosan's name, address, and logo on the top, indicating that they were the actual producer of the xanthan gum.<sup>28</sup> Therefore, information Dormeco provided to CBP in its RFI response confirms that the xanthan gum GON imported from Dormeco was, in fact, produced in China.

### *Supplemental RFI*

On June 4, 2024, CBP sent GON a supplemental RFI (SRFI) with a response deadline of June 18, 2024.<sup>29</sup> In the SRFI, CBP asked GON to explain what role, if any, former Albaad employees played in GON's purchases of xanthan gum from Dormeco; how GON's employee, [ NAME ], knew that the xanthan gum GON imported from Dormeco was Chinese origin on February 23, 2024, when he stated this in the email that GON submitted with its CF-28

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<sup>21</sup> *Id.* at 15.

<sup>22</sup> See CBP's email, "RE: EAPA 7844 RFI – Second Opportunity for Dormeco to Respond," dated May 30, 2024.

<sup>23</sup> See CBP's email, "Rejection of Dormeco RFI Response," dated June 17, 2024. CBP rejected Dormeco's response because the public version did not contain public summaries of the business confidential information and it did not provide English translations for all documents, as required by 19 C.F.R. § 165.4 and § 165.5.

<sup>24</sup> See CBP's email, "Re: Dormeco's reply to RFI," dated June 17, 2024.

<sup>25</sup> See Dormeco's Letter, "Response to RFI," dated July 2, 2024 (Dormeco RFI Response).

<sup>26</sup> *Id.* at 26 of 120.

<sup>27</sup> *Id.* at Appendix C1, page 26-30 of 120.

<sup>28</sup> *Id.* at 59 of 120.

<sup>29</sup> See CBP's Letter, "EAPA 7844 0 Supplemental Request for Information," dated June 4, 2024.

responses; whether Dormeco is aware of any other xanthan gum manufacturers that supply xanthan gum to Dormeco; and whether GON was aware that the xanthan gum it received from Dormeco was Chinese-origin at time of entry.<sup>30</sup>

On June 10, 2024, GON requested additional time to submit its response,<sup>31</sup> and on June 11, 2024, CBP extended the deadline for GON to submit its SRFI response until June 25, 2024.<sup>32</sup> GON submitted its SRFI response on June 25, 2024, but CBP rejected GON's response on June 26, 2024, and established a deadline of July 3, 2024, for GON to resubmit its response.<sup>33</sup>

GON submitted its timely SRFI response on June 28, 2024.<sup>34</sup> GON explained that approximately [ # ] employees of Albaad became employees of GON after it acquired Albaad's wipes division, but that [ description of employee activities ].<sup>35</sup> GON further stated that at the time when it entered the xanthan gum, it was unaware that the xanthan gum was Chinese-origin, but GON became aware that the xanthan gum was Chinese after receiving the Certificate of Analysis from Dormeco. GON noted that "the Certificate of Analysis was not {included} in the shipment paperwork originally."<sup>36</sup>

#### *Voluntary Factual Information and Written Arguments*

Neither the Importer nor the Allegor submitted written arguments or voluntary factual information in this investigation.

#### **Analysis as to Evasion**

Under 19 U.S.C. § 1517(c)(1)(A), in order to reach a determination as to evasion, CBP must "make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion."<sup>37</sup> "Covered merchandise" is defined as "merchandise that is subject to a CVD order ... and/or an AD order."<sup>38</sup> "Evasion" is defined as "the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise."<sup>39</sup> As discussed below, the record of this investigation contains

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<sup>30</sup> *Id.* at 4-5.

<sup>31</sup> See GON's email, "Re: EAPA 7844 – Supplemental RFI – PV in the ATTACHMENT," dated June 10, 2024.

<sup>32</sup> See CBP's email, "Re: EAPA 7844 – Supplemental RFI – PV in the ATTACHMENT," dated June 11, 2024.

<sup>33</sup> See CBP's email, "EAPA 7844 – Rejecting Guy and O'Neill's Supplemental RFI Response," dated June 26, 2024. CBP rejected GON's submission because it redacted business confidential information in the business confidential version.

<sup>34</sup> See GON's letter, "Guy and O'Neill, Inc. – Response to June 4, 2024, Supplemental Request for Information (EAPA Case No. 7844)," dated June 28, 2024 (SRFI Response). GON included the business confidential information in the business confidential version of its resubmission.

<sup>35</sup> *Id.* at 5.

<sup>36</sup> *Id.* at 7-8.

<sup>37</sup> See 19 U.S.C. § 1517(c)(1)(A). See also 19 C.F.R. § 165.27(a) (implementing 19 U.S.C. § 1517).

<sup>38</sup> See 19 C.F.R. § 165.1.

<sup>39</sup> *Id.*

substantial evidence supporting a determination that GON entered covered merchandise into United States through evasion, resulting in the avoidance of applicable AD/CVD cash deposits or other security.

#### **IV. Determination as to Evasion**

The facts on the record of this investigation establish that there is substantial evidence that GON imported Chinese-origin xanthan gum into the United States through evasion. Specifically, GON's acknowledgment that the xanthan gum it imported from Dormeco and declared as Israeli-origin was, in fact, Chinese-origin demonstrates that GON entered xanthan gum into the U.S. through evasion. Since EAPA is a strict liability statute, regardless of whether GON intended to evade the order, its acknowledgement in CF-28 responses and the corroborating information provided in its RFI responses<sup>40</sup> constitute substantial evidence of evasion.<sup>41</sup>

#### **V. Actions Taken Pursuant to the Affirmative Determination as to Evasion for Legion**

In light of CBP's determination that substantial evidence demonstrates that GON entered covered merchandise into the customs territory of the United States through evasion, CBP will take action, as applicable, pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28. CBP will suspend or continue to suspend the liquidation of all entries imported by GON that are subject to this EAPA investigation and continue suspension of liquidation until instructed to liquidate these entries by the Department of Commerce. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension of liquidation until instructed to liquidate those entries by the Department of Commerce. CBP will also evaluate GON's continuous bond in accordance with CBP's policies and may require single transaction bonds as appropriate. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.<sup>42</sup>

Sincerely,



Victoria Cho  
Director, Enforcement Operations Division  
Trade Remedy Law Enforcement Directorate  
Office of Trade

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<sup>40</sup> See CF-28 Response at Attachment 1 and RFI Response at Exhibit 3.

<sup>41</sup> See 19 U.S.C. § 1517 (5)(A). See also 19 C.F.R. § 165.1 and *Ikadan System USA, Inc. v. United States*, No. 21-00592, slip op. 23-88 (Ct. Int'l Trade June 13, 2023).

<sup>42</sup> See 19 U.S.C. § 1517(h).